Hawley Act touched off an international trade war that prolonged the Depression and brought on a worldwide plague of economic nationalism. I always agreed with FDR when he said in 1933: “The only practicable way to assure American trade of protection against injurious trade barriers in foreign countries is to join with these countries in concerted efforts to reduce excessive trade restrictions and to reestablish commercial relations on a nondiscriminatory basis.”

When I was young and a Democrat, the Democratic Party was the party of free trade and the Republicans were the party of high tariffs and protection. Today, it’s just the opposite. I’ve wondered how that happened. Back then, when the Republican Party came up with the Smoot-Hawley tariffs, it was unquestionably the party of big business and wanted to protect our industry, while the Democrats were closer to the working man and wanted free trade; today, it’s the Democrats in Congress who do most of the fighting on behalf of protectionist legislation and the Republicans who usually oppose it. I think the change probably came about because, as the labor unions that were affiliated with the Democrats became more powerful and the wages of their members grew higher, they decided that it was in their interest to limit competition from products made by foreign workers.

Although I intended to veto any bill Congress might pass imposing quotas on Japanese cars, I realized the problem wouldn’t go away even if I did. The genuine suffering of American workers and their families made this issue intensely charged politically. And the protectionists in Congress had some powerful ammunition on their side: There was plenty of evidence that the Japanese weren’t playing fair in the trade arena. They refused to let American farmers sell many U.S. agricultural products in Japan, and they imposed subtle but effective barriers that eliminated